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INVESTMENT COMMITTEE PACKAGE

Mesa Ridge Industrial Park — repositioning capital request

TO	FROM	DATE	REF
Investment Committee	Asset Management	2026-08-05	CR-26-0118

BOTTOM LINE

Approve **\$2,450,000** to reposition Mesa Ridge Industrial Park. The plan reaches stabilized NOI of **\$3,402,000** on a **6.2%** going-in cap, returns capital in **31** months, and holds debt service coverage at **1.42x**.

\$2,450,000	31	\$3,402,000	18.6%
CAPITAL REQUESTED	PAYBACK (MONTHS)	STABILIZED NOI	5-YEAR IRR

DECISION REQUESTED

Approve the repositioning budget and authorize the general contractor award. Draw is staged against three construction milestones, not released in full at close.

AMOUNT \$2,450,000
OWNER Asset Management
BY 2026-09-30

01 The return comes from occupancy and rent, not from cutting expenses

Mesa Ridge is **84,000** rentable square feet running at **78.0%** occupancy. The repositioning takes occupancy to **93.0%** and base rent from **\$37.50** to **\$44.29** per square foot, lifting NOI per square foot from **\$26.05** to **\$32.90**.

Operating expense per square foot barely moves, from **\$11.45** to **\$11.39**. That is deliberate. The plan does not assume a management or maintenance efficiency we have not already demonstrated at comparable assets, so none of the return depends on cost discipline that has yet to be proven here.

Both leasing profiles are held at their current market assumptions; Exhibit B shows them side by side so the committee can see exactly which inputs differ between the warehouse and flex units.

- Repairs and maintenance falls from **\$218,000** in Year 1 to **\$198,000** as deferred work clears — a consequence of the capital spend, not an assumed saving.
- Property taxes are held at **\$410,000** in Year 1 with a reassessment assumed in Year 2; the assessor's schedule, not our estimate, drives that line.

Exhibit A · Per-square-foot economics, current versus post-repositioning

Per SF!B4:E8

METRIC	CURRENT	POST-REPOSITIONING	DELTA
Base rent PSF	\$37.50	\$44.29	\$6.79
Operating expense PSF	\$11.45	\$11.39	(\$0.06)
NOI PSF	\$26.05	\$32.90	\$6.85

Occupancy (78.0% current, 93.0% stabilized) is held on the source tab and excluded here so the column stays in dollars per square foot.

Exhibit B · Market leasing summary — profile comparison

Market Leasing!B4:D13

Mesa Ridge Industrial Park · amounts in USD, measures in SF

As of Jan-2026

	Warehouse Profile	Flex Profile
Term		
Term length (years)	5	5
Renewal probability	75.0%	75.0%
Months vacant	6	6
Months vacant (blended)	1.50	1.50
Market base rent (\$/SF/year)		
New	\$22.00	\$16.00
Renewal	\$20.00	\$16.00
Blended	\$20.50	\$16.00
Rent increases		
Fixed steps	None	None
CPI increase	None	None
Market rental value	Continue Prior	Continue Prior
Tenant improvements (\$/area)		
New	\$15.00	\$8.00
Renewal	\$5.00	\$0.00
Blended	\$7.50	\$2.00
Leasing commissions		
New	5.0%	5.0%
Renewal	2.5%	2.5%
Blended	3.1%	3.1%
Other		
Recovery type	Base Year Stop	Net
Upon expiration	Warehouse Profile	Flex Profile

Flex Profile (2) applies to the Unit 400 flex space; all other units run Warehouse Profile (1).

02 Operating statement and the return on capital

Total revenue moves from **\$3,770,000** in Year 1 to **\$4,465,000** at stabilization, against NOI of **\$2,862,000** in the first year. Capital of **\$2,450,000** returns in **31** months, producing a five-year IRR of **18.6%** and a going-in cap rate of **6.2%**.

Debt service coverage stabilizes at **1.42x**, which clears the lender covenant with room. The reimbursement line carries the most estimation risk, since it depends on the lease structures signed during lease-up rather than on anything currently in place.

Exhibit C • Projected property operating statement, Years 1–3

Property P&L B4:E13

LINE ITEM	YEAR 1	YEAR 2	YEAR 3
Base rental revenue	\$3,150,000	\$3,480,000	\$3,720,000
Expense reimbursements	\$620,000	\$690,000	\$745,000
Total revenue	\$3,770,000	\$4,170,000	\$4,465,000
Property taxes	\$410,000	\$425,000	\$440,000
Insurance	\$132,000	\$138,000	\$145,000
Repairs and maintenance	\$218,000	\$205,000	\$198,000
Management fee	\$148,000	\$163,000	\$174,000
Total operating expenses	\$908,000	\$931,000	\$957,000
Net operating income	\$2,862,000	\$3,239,000	\$3,508,000

As computed on the Property P&L tab. See the reconciliation note below regarding stabilized NOI.

03 The downside still services debt

On the downside case, stabilized NOI falls to **\$2,910,000** and payback extends to **48** months. Coverage holds above the covenant at that level, so the downside is a slower return rather than a default risk. The upside case reaches **\$3,735,000**.

The decision point is lease-up pace. If signed occupancy has not cleared the midpoint between current and stabilized by the end of month nine, the correct response is to hold rents and extend the lease-up window, not to discount to fill space.

Exhibit E walks a single representative lease month by month, so the shape of the leasing-cost drag in the commencement month is visible rather than buried in an annual total.

Exhibit D • Stabilized NOI sensitivity

Scenarios!B4:E7

SCENARIO	REVENUE	NOI	PAYBACK (MO)
Downside	\$3,980,000	\$2,910,000	48
Base	\$4,465,000	\$3,402,000	31
Upside	\$4,760,000	\$3,735,000	24



NOI • source: Scenarios!B4:E7

Exhibit E • Tenant cash flow — Vantor Logistics, Unit 300, monthly

Tenant CF!B4:O10

Mesa Ridge Industrial Park • amounts in USD

Forecast data only • lease commences Mar-2026

For the months	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Total
Rental revenue													
Base rent	0	0	11,458	11,458	11,458	11,458	11,458	11,458	11,458	11,458	11,458	11,458	114,583
Free rent	0	0	-11,458	-11,458	-11,458	0	0	0	0	0	0	0	-34,375
Total rental revenue	0	0	0	0	0	11,458	11,458	11,458	11,458	11,458	11,458	11,458	80,208
Other tenant income													
Recoveries	0	0	833	833	833	833	833	833	833	833	833	833	8,333
Total other tenant income	0	0	833	833	833	833	833	833	833	833	833	833	8,333
Tenant net operating income	0	0	833	833	833	12,292	12,292	12,292	12,292	12,292	12,292	12,292	88,942
Leasing costs													
Tenant improvements	0	0	-93,750	0	0	0	0	0	0	0	0	0	-93,750
Leasing commissions	0	0	-54,656	0	0	0	0	0	0	0	0	0	-54,656
Total leasing costs	0	0	-148,406	0	0	0	0	0	0	0	0	0	-148,406
Net tenant cash flow	0	0	-147,573	833	833	12,292	12,292	12,292	12,292	12,292	12,292	12,292	-59,865
Present value	0	0	0	0	0	0	0	0	0	0	0	-54,422	-54,422
Tenant details													
Potential market rent per SF	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$1.71	\$20.50
Scheduled base rent per SF	\$0.00	\$0.00	\$1.83	\$1.83	\$1.83	\$1.83	\$1.83	\$1.83	\$1.83	\$1.83	\$1.83	\$1.83	\$12.83
Average occupancy (SF)	0	0	6,250	6,250	6,250	6,250	6,250	6,250	6,250	6,250	6,250	6,250	5,208

Results displayed are based on forecast data only.

UNRECONCILED IN SOURCE WORKBOOK

- **Stabilized NOI does not agree across tabs** — The Summary and Scenarios tabs both carry **\$3,402,000**, while the Property P&L computes **\$3,508,000** in Year 3. The payback, cap rate and IRR stated in this memo derive from the Summary figure, which is the more conservative of the two. The P&L expense lines should be reconciled to the scenario model before this package goes to the lender.

Risks and responses

RISK	RESPONSE
Lease-up runs slower than plan and stabilized occupancy arrives a year late.	The downside case already prices this: payback extends to 48 months while coverage stays above covenant. A month-nine occupancy gate triggers a hold on rents rather than a discount.
The Year 2 reassessment lands above the modeled property tax line.	Taxes are the single largest expense line and are modeled at the assessor's published schedule. A reassessment materially above it would move NOI, and is the one variable worth a contingency reserve.
Construction overruns the approved budget.	Draw is staged against three milestones with a fixed-price general contract. No funds release before the guaranteed maximum price is executed.

PREPARED AND REVIEWED

Asset Management

Prepared by · 2026-08-05

Investment Committee

Approved by

Appendix — figure trace index

Every figure in this memo resolves to a cell in mesa-ridge.xlsx, verified at render time. No figure in the body was typed by hand.

FIGURE	SOURCE CELL	VALUE
1 Requested capital	Summary!C5	\$2,450,000
2 Stabilized NOI (Summary)	Summary!C7	\$3,402,000
3 Going-in cap rate	Summary!C9	6.2%
4 Payback period (months)	Summary!C8	31
5 Stabilized DSCR	Summary!C10	1.42x
6 Five-year IRR	Summary!C11	18.6%
7 Rentable area (SF)	Summary!C6	84,000
8 Occupancy, current	Per SF!C8	78.0%
9 Occupancy, stabilized	Per SF!D8	93.0%
10 Base rent PSF, current	Per SF!C5	\$37.50
11 Base rent PSF, post-repositioning	Per SF!D5	\$44.29
12 NOI PSF, current	Per SF!C7	\$26.05
13 NOI PSF, post-repositioning	Per SF!D7	\$32.90
14 Operating expense PSF, current	Per SF!C6	\$11.45
15 Operating expense PSF, plan	Per SF!D6	\$11.39
16 Year 1 repairs and maintenance	Property P&L!C10	\$218,000
17 Year 3 repairs and maintenance	Property P&L!E10	\$198,000
18 Year 1 property taxes	Property P&L!C8	\$410,000
19 Year 1 total revenue	Property P&L!C7	\$3,770,000
20 Year 3 total revenue	Property P&L!E7	\$4,465,000
21 Year 1 NOI	Property P&L!C13	\$2,862,000
22 Downside stabilized NOI	Scenarios!D5	\$2,910,000
23 Downside payback (months)	Scenarios!E5	48
24 Upside stabilized NOI	Scenarios!D7	\$3,735,000
25 Year 3 NOI (Property P&L)	Property P&L!E13	\$3,508,000